🌏 TOPIC 1 · THE GLOBAL ECONOMY

Al Jazeera · ABC News (citing Reuters) · Euronews · RBA
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Oil slips about 3% but stays near US$100 as the Hormuz blockade keeps energy prices high

Oil prices fell on 4 November after the US midterm elections and reports of peace talks involving Iran and Russia–Ukraine. Even after the fall, Brent crude is still around US$100 a barrel, because the effective blockade of the Strait of Hormuz has disrupted global energy supply.

WHAT HAPPENED

- **Brent crude** fell US$3.20 (about 3.1%) to US$100.40 a barrel, and US **WTI** fell about 3.1% to US$93.08 (Al Jazeera).
- During Australian trading on Wednesday, Brent was choppy at around **US$103–104** (ABC).
- Reuters (via ABC) reports the effective **blockade of the Strait of Hormuz** has redrawn global energy flows and raised inflation worries.
- ING expects **eurozone inflation near 4%**, largely because of energy prices linked to the Iran war (Euronews).
- In Australia, the **RBA** lists energy prices and the Middle East conflict as key upside risks to inflation. Fuel spending rose **5.4%** in September (ABS).

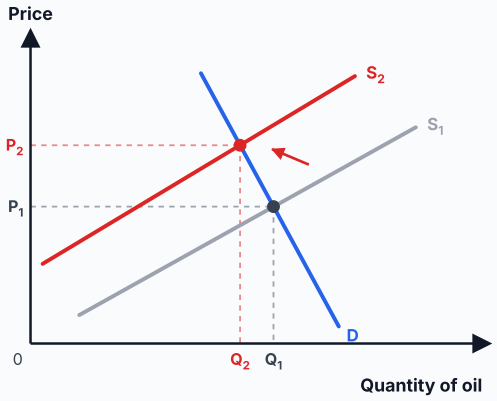
~US$100
Brent crude per barrel after a 3.1% fall on 4 Nov

US$93
US WTI crude, also down about 3.1%

~4%
ING's expected eurozone inflation, driven by energy

Supply-side shock: a sudden change in production costs or supply that shifts aggregate supply.
Price-inelastic demand: quantity demanded changes proportionally less than price. Oil is a necessity with few short-run substitutes.

DIAGRAM **Why a supply disruption keeps oil prices high**



The blockade reduces the quantity of oil that can reach world markets, shifting supply from **S_1 to S_2**.

Because short-run demand for oil is **price-inelastic** (a steep D curve), quantity falls only a little (Q_1 to Q_2) but the **price jumps** (P_1 to P_2). Peace-talk reports raise hopes that supply will return, which is why prices fell on the day.

Exam angle: on an AD/AS diagram, higher oil prices shift **SRAS to the left**: the price level rises while real GDP falls. This is **stagflation**, a key challenge for central banks.

FLOW CHART **How a Middle East supply shock reaches Australian households**

Hormuz blockade cuts oil supply → World oil price rises (~US$100) → Australian fuel prices rise → Firms' costs and CPI rise → **RBA keeps policy tight (cash rate 4.85%)**

Syllabus link: Topic 1 – the global economy: the effects of global supply shocks and the international transmission of inflation through trade and prices. Also Topic 3 (cost-push inflation) and Topic 4 (the limits of monetary policy against supply shocks).

Try this
Explain how a supply disruption in the Middle East can raise inflation in economies that import little oil directly from the region. Use a diagram. **(4 marks)**

Sources: aljazeera.com/economy/2026/11/4/us-markets-rise-as-democrats-sweep-midterm-elections · abc.net.au/news/2026-11-04/asx-markets-business-live-news-nov-4/107343406 · euronews.com/2026/11/04/us-midterms-what-trumps-defeat-means-for-europe-and-global-markets · rba.gov.au/publications/smp/2026/nov/